

There was another element which influenced me greatly: a major reason the company's profits were so poor was that Rogers was spending a quite disproportionate amount of money on a single new product development seeming to offer prospects of great results. This was diverting both money and people from other potentially exciting new products which were getting less corporate effort. New products of this type do have magnificent potential. When the painful decision was made to abandon all the effort on this one particular product, it was not long before it became quite apparent that several other innovations of great promise were starting to flower. All this, however, took time. In the meanwhile, the company's failure to live up to the hopes of many of those who had bought the shares caused the stock to drop to levels that were absurd in relation to its sales, its assets, or any type of normal earning power. Here seemed a classic example of zigging when the financial community was zagging. Therefore, three-year rule or no, I sizably further increased my holdings and those of my clients, even though a few of those clients, influenced by the years of waiting and the negative performance, looked at this with a degree of apprehension. As so often happens in situations of this sort, when the turn came, it came fast. As it became apparent that the betterment of earnings was not a one- or two-year matter, but gave strong indications of being but the basis for years of genuine growth, the stock continued to rise proportionately.